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SHYAM SRINIVASAN

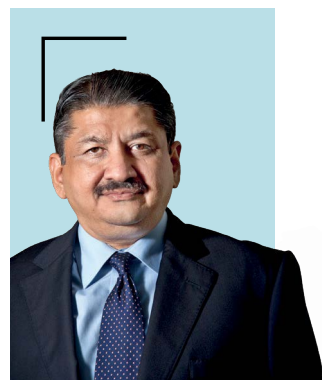
FORMER MD & CEO, FEDERAL BANK



“An independent director has two sources of information—what’s provided by the management and what can be gathered from interactions with the regulator, auditors”

VIMAL BHANDARI

FORMER INDEPENDENT DIRECTOR,
RBL BANK



at the same time ensuring that they do not breach into the domain of the bank executive.

Shyam Srinivasan, former MD and CEO of Federal Bank and Senior Advisor and Operating Partner at TVS Capital Funds, says, “Fiduciary responsibilities have to be honoured, and board members have to work in such a way that they are not performing an executive role but are able to decipher the goings-on at an operational level without disturbing the normal conduct of business.”

But the RBI’s moves have ensured that the role of independent directors on boards of entities it regulates has become more executive in nature. It’s not that sea-

soned professional talent is not available, but there is constant demand for good and willing people, Srinivasan says. Generalists have their place but “specialist roles are now in greater demand and this is likely to increase with further nuances and intricacies being added in the businesses,” he adds. This scrutiny of bank independent directors is affecting their supply. The P.J. Nayak Committee to Review Governance of Boards of Banks in India (May 2014) touched upon this sensitive aspect.

While the government seeks the professionally qualified for board positions, new private banks (and increasingly old ones too) search for professionally talented people,

preferably of high standing. The distinction is material: for instance, almost all chartered accountants would qualify for appointment at state-run banks but a very small subset would be sought after by boards of private banks.

That this freedom is generally not abused by private bank boards—though there could always be exceptions—stems from the way the CEO and directors collaborate to bring in new directors in. In state-run banks, on the other hand, all non-official directors are externally imposed on boards without any consultation with bank chairmen and so cannot be seen as independent.

However, independent directors